Quarterly portfolio performance review

Quarter ended December 31, 2021 | Updated October 1, 2026
Independent practice extension using PGIM Forage sector returns

The reconciled practice portfolio earned a **0.9153% net time-weighted return** and ended the quarter at **$1,059,338.96**. A misclassified contribution materially overstated the initial return. Resolving all four seeded exceptions brought every holding and cash balance into agreement with the simulated statement.

This is a constructed practice account. Account size, transactions, fees, prices and exceptions are assumptions, not actual client activity or PGIM investment results.

Quarterly account bridge	USD
Beginning value	1,000,000.00
Contributions	100,000.00
Withdrawals	(50,000.00)
Gross investment gain	10,088.96
Management fees	(750.00)
Ending value	1,059,338.96

Quarterly performance measure	Result
Net time-weighted return	0.9153%
Net money-weighted return	0.8969%
Money-weighted less time-weighted return	(1.84) basis points
Gross time-weighted return	0.9870%
Assumed quarterly reference hurdle	0.3760%
Net time-weighted excess over reference hurdle	53.93 basis points

Interpreting the return difference

The money-weighted return was **1.84 basis points below** the time-weighted return. It reflects the size and timing of the $100,000 contribution on November 15 and $50,000 withdrawal on December 15. Time-weighted returns remove external-flow effects by linking subperiod returns.

Excel XIRR returns an annualized rate of 3.6061%. Converting it to the 92-day reporting period gives 0.8969%, the comparable quarterly figure. This annualized rate is not a realized one-year return or a forecast. Ending NAV includes $750 in fees and serves as an assumed liquidation value. The cash-flow schedule and checks are in the workbook's Performance sheet.

What changed after reconciliation

The unreconciled return was 11.6343%. Reclassifying the $100,000 deposit from income to an external contribution reduced it to 1.5547%. Correcting the missing renewable-sleeve purchase, December fee and technology price reduced it to 0.9153%. This sequence shows how cash-flow classification and valuation checks affect reported performance.

The reference hurdle compounds the template's 1.50% annual reference over 92 days. It is not an observed market-index return. Reconciliation corrections do not represent investment outperformance.

Reconciliation findings and discussion guide

Finding	Correction and evidence
Contribution classified as income	Reclassified $100,000 as external flow. Cash was already present, so no second deposit was posted.
Missing renewable-sleeve purchase	Recorded $40,000 purchase and corresponding unit increase; reduced book cash by $40,000.
Missing December fee	Recorded $250 fee, bringing quarterly fees to $750.
Stale technology price	Replaced the November book price with the December statement price. Closing technology value fell by $6,809.72.

Control results

Corrected closing NAV matched the statement with a $0.00 residual. All 49 dated asset records reconciled. The seven closing sleeves, including cash, matched independently generated reference records. Return differences against rounded statement calculations were below 0.001 basis point. No spreadsheet formula errors were found.

Allocation comparison

Using all 12 months of PGIM sector returns and monthly rebalancing, the current allocation returned 2.5693%, versus 2.4927% for the proposed allocation. Moving 20 percentage points from Oil & Gas to Renewables reduced annualized sample volatility from 1.9588% to 1.7845%, while renewable exposure rose from 10% to 30%. The historical return decreased by 7.66 basis points. The lower volatility alone does not establish that the proposal is better for a client.

Questions for a consultant review

Confirm the client's risk objective and whether 30% exposure to one sleeve is acceptable. Review cash needs before changing allocations. Ask whether the reference hurdle is appropriate, and obtain a suitable observed benchmark series before interpreting relative returns as market outperformance. Assess a longer return history before drawing conclusions from the risk comparison.

Methods and limitations

Valuations occur at each external-flow date. Net subperiod returns remove end-of-date flows; gross returns also add back fees. Quarter returns link geometrically. Mid-month prices use half of the month's logarithmic growth, an assumed path. Cash earns no interest; no taxes, FX or transaction costs are modeled. Annualized volatility uses monthly sample volatility times the square root of 12. The workbook's illustrative Sharpe ratio uses a separate assumed 0.10% annual risk-free rate. No GIPS-compliance claim is made.

Sources: PGIM Task 3 KPI workbook and instructions; simulated records preserved with this project. Calculation reference: CFA Institute, GIPS Calculation Methodology guidance, https://www.gipsstandards.org/wp-content/uploads/2021/03/calculation_methodology_gs_2011.pdf. Full assumptions and source references are on the workbook's Methods sheet. Prepared with AI assistance for independent practice.